

Page(s)	Section	Changes
Matrix	Complete Doc	See Matrix for full set of changes
12	2 - Underwriting Criteria	Clarified when REO needs to be added to the loan app
13	3 - Programs	Added reference to CES Matrix
13	4.2.2 Interest Only	Removed redundant caps already addressed in matrix
		Clarified Flex defers to Prime/Plus caps
14	4.4 - Max LTV	Added and expanded max LTV chart
15	4.5 - Debt-To-Income	Added 55% DTI option
		Clarified 45 max when using Asset Utilization as a supplemental source of income
16	5.3 - Non-Perm Resident	Added guidance on Temporary Protected Status
		Clarified borrowers required to have 2 years legal residency
16	5.6 - Non-Occupancy Co-Borrowers	Clarified documentation they are required to sign
17	5.8 - Entity Identity Review Process	Added lift for equivalent document in lieu of Operating Agreement/Bylaws based on state requirements
17	5.9 - InterVivos Revocable Trusts	Allowed options in lieu of full trust docs
17	5.1 - SG Exposure	Clarified 3 or more properties in the same area considered on case-by-case basis
18	6.3 - Non-Owner Occupied	Clarified rent loss not required if not using rental income
		Added that an additional 6 months reserves allowed in lieu of rent loss
		Added subject property STRs are eligible as long as not using STR income to qualify
19	7.3 - Cash-Out Refinance	Clarified allowance for delayed financing when less than 6 months
		Clarified can use appraisal value
		Removed ability to waive seasoning requirement when receiving property as a gift
		Clarified refinances out of a Blanket loan are considered cash-out
20	7.4 - Construction Take Out...	Clarified Unsold Builder Inventory is ineligible
20	7.5 - Properties Listed for Sale	Added guidance to utilize free online sites to verify listing history
20	7.6 - Delayed Financing	Clarified delayed financing allowed when less than 6 months
21	7.8 - Continuity of Obligation	Clarified seasoning for cash-out based on note date
21	7.12 - Non-Arm's-Length	Added employee loans for TPOs are ineligible
22-23	9.1 - Credit Events	Clarified Single Bankruptcy seasoning
		Clarified Multiple Bankruptcies are never eligible
		Clarified Multiple Credit Events are permitted if not in the 4 year lookback

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23	9.3 - Housing History	Added allowance for 1 x 30 x 12 allowed w/ LLPA
		Clarified all refinances require pay history on subj. property
		Re-worded Housing History section to provide clarity
24	9.4 - Forbearance or Deferral	Removed COVID forbearance allowance and replaced with natural disaster/non-financial hardship
		Clarified documentation from credit bureaus is ok
24	9.7.4 - Tradelines	Clarified primary income earner allowed not just primary wage earner
25	9.7.5 - Credit Score	Clarified primary income earner allowed not just primary wage earner
		Clarified that the highest mid score when borrower is primary income earner can only be used if the borrower meets continuity
25	9.7.6 - Judgements, Lines, Charge-Offs...	Upped medical collection allowance from 15k to 50k
25	10.1.1 - Wage Earner	Removed requirement for full transcripts and allow for the form like FNMA (and throughout)
25	10.1.2 - 1099 Borrowers	Added expense ratio should be reasonable (and throughout)
		Clarified rideshare drivers ineligible
		Clarified borrowers paid via multiple 1099s must go Bank Statements
		Removed requirement for full transcripts and allow for the form like FNMA
26	10.1.3 - Self-Employed Borrowers	Added allowance for PTINs to verify ownership percentage only with attestation to documentation used to verify (and throughout)
28-30	10.3 - Flex Connect	Made several clarifications and cleanups (See Manual)
30-31	10.4 - Bank Statements	Added FinTechs allowed for reserves
		Added large deposits threshold to align with Laminr guidance
		Clarified NSF/Overdrafts should be covered w/ deposits
31-32	10.4.2 - Business Bank Statements	Added allowance for excluding business debt when using <50% expense factor
		Removed 85% LTV cap when using <50% expense factor
		Added 30% expense factor option
32-33	10.4.3 - AI Bank Statement Calculation...	Added use of Laminr to calculate and sign off on income with restrictions (See Manual)
33	10.5 - 12/24 Month CPA/Enrolled...	Clarified PnL may only be used as supplemental source if able to validate business via SOS
34	10.6 - Written Verification of Employment	Added that evidence business is active via SOS required
34-35	10.7 - Asset Utilization	Clarified Gifts for any purpose are ineligible
		Removed minimum asset requirement when using as a supplemental source of income
35	10.8 - Supplemental Income Source...	Made pricing considerations more prominent
		Clarified Rental Income section applies to OREO
		Removed 3 month seasoning requirement for divorce/separation (and throughout)

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38-39	10.9.17 - Rental Income	Clarified section applies to subject property rental income
		Added option to have 6 months additional reserves in lieu of rent-loss
39	10.9.17.2 - Short Term/Variable Rental	Clarified section applies to OREO only
		Added subject property can be STR but can't use STR income to qualify
40	11.3 - Gift Funds	Clarified when Gift of Equity involved, seller must have 0x30x12 and no DQ taxes
40-41	11.4 - Reserves	Clarified Asset Utilization doesn't require reserves
42	12.4 - Business Debt	Removed expense ratio minimum when excluding business debt
42-43	12.6 - Departing Residence	Restructured prepay risk rule
42-43	13.1 - Appraisal	Clarified appraisal requirements across different programs
		Added guidance on properties with significant negative influence
		Clarified 5% LTV cut for declining markets
		Added 0% Desk Review variance should never be used as a Comp factor
		ROVs required to be sent to SG for preapproval
		Added additional appraisal requirements (See Manual)
45	13.4 - Property Types	Rowhouses ineligible
45	13.4.1 - Rural Properties...	Added allowance and LTV caps for when appraiser marks property as Suburban but property is zoned Rural Residential
46	13.4.3 - Condos	Clarified section applies to both warrantable and non-warrantable condos
		Added guidance around SB326
		Added guidance around Florida aged associations
46-47	13.4.5 - Non-Warrantable Condos	Cleaned up section and clarified Reserves guidance
47	13.8 (old) - Multiple Dwellings...	Removed section making them ineligible
48	14.4 - Hybrid Closings	Added section on Hybrid Closings accepted by SG

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Matrix	Complete Doc	See Matrix for full set of changes
8	1 - Overview and Underwriting Criteria	Clarified all business purpose loans require Loan Agreement
		Clarified when REO needs to be added to the loan app
8	2.1 - Available Products	Added reference to CES Matrix
9	2.5 - Max LTV	Added and expanded max LTV chart
10	2.8 - Loan Amounts	Increased max loan amount (See Matrix)
10	3.1.1 - First Time Investor	Added LTV cap for first time investors since matrix going up to 85%
10-11	3.1.2 - First Time Homebuyer	Rent-free ineligible
		Raised LTV cap and lowered FICO minimum
11	3.1.3 - Eligible Borrowing Entity Types	Allowed options in lieu of full trust docs
11	3.1.5 - Non-Perm Resident Aliens	Added guidance on Temporary Protected Status
		Clarified borrowers required to have 2 years legal residency
13	4.1.2 - Rate-Term Refinance	Clarified seasoning is based on existing mortgage not just ownership
13-14	4.1.3 - Cash-Out Refinance	Clarified seasoning is based on existing mortgage not just ownership
		Clarified refinances out of a Blanket loan are considered cash-out
		Increased cash-in-hand limits
14	4.1.4 - Construction Take Out...	Clarified Unsold Builder Inventory is ineligible
14	4.3 - Continuity of Obligation	Clarified seasoning for cash-out based on note date
14-15	4.5 - Properties Listed for Sale	Added guidance to utilize free online sites to verify listing history
16	6.1 - Credit Event	Clarified Single Bankruptcy seasoning
		Clarified Multiple Bankruptcies are never eligible
		Clarified Multiple Credit Events are permitted if not in the 4 year lookback
16-17	6.3 - Housing History	Clarified all refinances require pay history on subj. property
		Re-worded Housing History section to provide clarity
17	6.4 - Forbearance or Deferral	Removed COVID forbearance allowance and replaced with natural disaster/non-financial hardship
18	6.8 - Judgements, Liens, Charge-Offs...	Upped medical collection allowance from 15k to 50k
18	7 - Debt Service Coverage Ratio	Added minimum 175k loan amount for DSCR below 1.0 and 40yr/40yr IO are both ineligible
		Added >70% LTV requires 30 yr fixed only
18	Rent Qualification	Removed attestation requirement for using market over lease on refinances
		Clarified can use market over lease in place on purchases if less than 6 months remaining on lease

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18-19	9.1 - Short Term/Variable Rental	Removed drafting error allowing use of actual gross receipts
		Added requirement to use Default Comps on AirDNA comps
19	10 - Asset Documentation	Clarified max 3% is market standard for realtor commission
20	10.2 - Gift Funds	Clarified when Gift of Equity involved, seller must have 0x30x12 and no DQ taxes
		Removed 3 month seasoning requirement when for lease in place for Gift of Equity
20	11 - Reserves	Clarified can use ITIA for IO loans to calculate reserve requirements
21	12 - Interested Party Contributions	Raised cap from 5% to 6%
21	15 - Entity Identity Review Process	Added lift for equivalent document in lieu of Operating Agreement/Bylaws based on state requirements
22	17 - Property Insurance	Added that an additional 6 months reserves allowed in lieu of rent loss
22	19.1 - Appraisal	Added guidance on properties with significant negative influence
		Clarified 5% LTV cut for declining markets
		Added 0% Desk Review variance should never be used as a Comp factor
		ROVs required to be sent to SG for preapproval
		Added additional appraisal requirements (See Manual)
24	20.1 - Condos	Clarified section applies to both warrantable and non-warrantable condos
		Added guidance around SB326
		Added guidance around Florida aged associations
25	20.2 - Non-Warrantable Condo	Cleaned up section and clarified Reserves guidance
25	20.3 - Accessory Dwelling Units - ADU	Added minimum sq. ft. for ADUs is 400
25	20.3.2 (old) - Multiple Dwellings...	Removed section making them ineligible
25	20.3.1 - Rural / Agricultural Properties	Added allowance and LTV caps for when appraiser marks property as Suburban but property is zoned Rural Residential
26	21.4 - Hybrid Closings	Added section on Hybrid Closings accepted by SG
29	Exhibit 1	Clarified that funds from loans can be used for funding business operations or other business ventures



Page(s)	Section	Changes
3	DTI	Removed redundant DTI caps
3	DSCR	Clarified all DSCR loans require 1007
4	Income Documentation	Added use of Laminr permitted (See Manual)
6	Exhibit 1	Clarified that funds from loans can be used for funding business operations or other business ventures